

LoanServe — Insurance Linkage Policy

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Scope and Application

This policy governs every insurance product offered alongside a LoanServe loan and makes clear which cover is required and which is a choice. It applies to credit life cover, property cover and motor cover taken in connection with a loan. No cover is a condition of sanction except where the security itself must be insured. An applicant who declines optional cover is assessed on exactly the same terms as one who accepts it.

Optional Cover

Credit life insurance is optional for all retail loan products and is never a condition of sanction. Property insurance is mandatory for home loans for the full tenure of the loan.

Premium Treatment

The insurance premium may be funded as part of the loan amount at the borrower's written request. A borrower may cancel optional credit life cover within the fifteen day free look period for a full refund.

Claims

Insurance claim intimation must be made within thirty days of the insured event.

Choosing an Insurer

The applicant may buy the required cover from any insurer registered in India and is not obliged to buy from the panel. Where the applicant buys outside the panel, the policy must name LoanServe as loss payee and a copy must reach the servicing branch before disbursement. The panel is reviewed each year and the current panel is displayed on the customer portal. No employee may represent that a sanction depends on buying from the panel.

Keeping Cover in Force

Where cover is required, the borrower must renew it before expiry and send proof to the servicing branch. A reminder is sent thirty days before a required policy is due to expire. If required cover lapses, LoanServe may take out cover and add the premium to the account after written notice. Cover taken by LoanServe in those circumstances protects the security and does not cover the borrower's own liability.

Claims

The borrower or the nominee should intimate the insurer directly and inform the servicing branch on the same day. LoanServe assists with the claim documentation but the claim is settled by the insurer on its own terms. A claim settlement received against a required cover is applied first to the outstanding on the loan. Any balance after settling the loan is paid to the borrower or the nominee within fifteen working days.

Definitions

'Credit life cover' means insurance that repays what is outstanding if the insured borrower dies during the loan tenure. 'Free look period' means the interval after issue during which cover may be cancelled for a full refund of premium.

Exceptions and Discretion

The free look period is not extended beyond the fifteen days allowed by the insurer. Where a property is under construction, contractor's cover may be accepted until possession, after which the borrower's own cover is required. Property cover is not waived for a home loan under any circumstance. A waiver of the

requirement to name LoanServe as loss payee is not granted.

Records and Evidence

Policy copies, renewal proofs and premium receipts are retained for the life of the loan. Claim correspondence is retained for eight years from settlement. The borrower may obtain a copy of any policy held on the account file on request.

Related Policies

The Insurance Linkage Policy should be read with: Interest Rate Policy, Prepayment and Foreclosure Policy.

Regulatory and Compliance Notes

This policy follows the directions prohibiting the bundling of insurance with credit and requiring that the customer's choice of insurer be recorded. The commission LoanServe earns as a corporate agent is disclosed on request. A customer who believes cover was mis-sold may complain under the Grievance Redressal Policy and the complaint is examined by an officer outside the selling line.

Review and Governance

Owned by the Bancassurance desk and reviewed whenever an insurer joins or leaves the panel.